

# Ondas Holdings Inc. (NASDAQ: ONDS)

Aerospace &amp; Defense · Autonomous Systems / Counter-UAS / Defense Robotics

| RATING                  | 12-MO TARGET   | UPSIDE / DOWNSIDE | HORIZON            |
|-------------------------|----------------|-------------------|--------------------|
| <b>HOLD</b>             | <b>\$14.50</b> | <b>+6.8%</b>      | <b>12–18 mo</b>    |
| Speculative · High-Risk | Base case      | from CMP \$13.58  | Conviction: Medium |

**Investment thesis:** Genuine, explosive defense-drone revenue ramp and a \$457M backlog — but priced at ~70x sales with a warrant-driven, non-cash 'profit'. Own the story on a pullback, not after a 10x run.

## MARKET SNAPSHOT — data from stockanalysis.com, fetched 03 Jun 2026 (quote 02 Jun 2026)

|                                 |                  |                                 |                    |
|---------------------------------|------------------|---------------------------------|--------------------|
| <b>CMP</b>                      | \$13.58          | <b>52-Week High / Low</b>       | \$15.28 / \$1.26   |
| <b>Market Cap</b>               | \$6.73 B         | <b>Enterprise Value</b>         | \$5.27 B           |
| <b>Shares Outstanding</b>       | 495.76 M         | <b>Avg Volume (day)</b>         | 92.96 M            |
| <b>P/E (TTM)</b>                | 31.0x †          | <b>Forward P/E</b>              | n/a (loss)         |
| <b>P/S (TTM)</b>                | 69.7x            | <b>Fwd P/S / EV/Sales</b>       | 13.3x / 54.5x      |
| <b>P/B</b>                      | 5.9x             | <b>Book Value / sh</b>          | ~\$2.17            |
| <b>EV / EBITDA</b>              | n.m. (EBITDA <0) | <b>Dividend Yield</b>           | Nil                |
| <b>ROCE (TTM)</b>               | -5.5%            | <b>ROE (TTM)</b>                | +31.2% †           |
| <b>Net Cash</b>                 | \$1.47 B         | <b>Debt / Equity</b>            | 0.004x             |
| <b>Beta (5Y)</b>                | 2.56             | <b>200-DMA / RSI</b>            | \$9.00 / 69.9      |
| <b>Inst. Own / Float</b>        | 40.6% / 492.3M   | <b>Short Interest (% float)</b> | 31.1% (2.3d cover) |
| <b>Street View (8 analysts)</b> | Strong Buy       | <b>Consensus Target</b>         | \$20.13 (+48%)     |

† GAAP P/E and ROE are inflated by a one-time, non-cash gain (Q1-2026: +\$389.5M warrant re-valuation, +\$51.5M Ondas Networks deconsolidation). On operations the company is loss-making — treat both as not meaningful. Book value/sh computed on 495.76M current shares; source's trailing BVPS is \$3.62.

**Sector:** Aerospace & Defense | **Sub-sector:** Autonomous Systems, Counter-UAS, Loitering Munitions, ISR & Defense Robotics | **Exchange:** NASDAQ (US)

**Report date:** 03 June 2026 | **Analyst:** MPM Institutional Equity Research Desk (Senior Analyst, Defense & Autonomy) | **Last reported quarter:** Q1 FY2026 (ended 31 Mar 2026; reported 14 May 2026)

## 2. INVESTMENT THESIS

- **Reason 1 — A real, fast-converting defense backlog:** Pro-forma contracted backlog jumped to **\$457M** at 31-Mar-2026 from \$68.3M at end-2025 (+570%), with a stated \$4.3B pipeline across 45 programs. Management raised FY2026 revenue guidance to **at least \$390M** (~670% growth). This is the core ownership case — order conversion is visible, not hypothetical.
- **Reason 2 — Pure-play exposure to the hottest defense theme:** Ondas sits squarely in counter-UAS, loitering munitions, ISR and ground robotics — markets growing 20–25% CAGR into 2030 (C-UAS alone \$6.6B→\$20.3B). The Optimus drone is now on the DoD **Blue UAS Cleared List**, opening rapid federal procurement; Mistral carries a \$982M US-Army IDIQ for loitering munitions.
- **Reason 3 — A \$1.48B cash war-chest funds the roll-up:** The January-2026 ~\$1B raise leaves Ondas with \$1.48B cash/investments versus ~\$50M/quarter burn — multi-year runway and self-described capacity to support >\$4.2B of further M&A without near-term funding risk.
- **Near-term catalyst (6–12 months):** Sequential revenue acceleration through Q2–Q4 2026 toward the \$390M guide, plus conversion of the World View / Mistral / 4M Defense order pipeline; product-company adjusted-EBITDA turned positive in Q1, ~2 quarters early.

- **Biggest structural risk:** Valuation. At ~70x trailing sales / 13.5x forward sales with reported 'profits' that are non-cash warrant gains, the stock prices in flawless execution of an acquisition-led, heavily-diluted story (shares +287% YoY). Any guidance slip or theme de-rating compresses the multiple violently (beta 2.56).

### 3. BUSINESS OVERVIEW

- **What it is:** Ondas Holdings is a US-listed defense-autonomy holding company assembled by acquisition. Founded 2014 as an industrial private-wireless firm, it pivoted to autonomous drones (American Robotics, 2021; Airobotics, 2023) and, through 2025–26, into a broad defense-tech roll-up.
- **Operating structure (four verticals):** (1) Counter-UAS / aerial security (BIRD Aerosystems, Sentrycs, Iron Drone); (2) ISR & surveillance (Optimus drone-in-a-box, World View stratospheric/space ISR, SkyWeaver agentic-AI); (3) loitering munitions / autonomous strike (Mistral, Rotron Aerospace, UVision partnership); (4) unmanned ground robotics (Roboteam).
- **Revenue mix:** Following the Q1-2026 restructuring, revenue is dominated by Ondas Autonomous Systems (OAS) and the newly consolidated defense portfolio. Management flags aerial security and ground systems as the largest 2026 contributors. Geographically the base is US + Israel/Middle-East-centric, with European JV exposure (ONBERG, 51%, with Heidelberg).
- **Customers & visibility:** Government / defense / homeland-security buyers (US Army, allied MoDs, border-security agencies). Revenue is shifting from point-product sales toward contractor-owned-operated (COCO) ISR services — higher recurring, higher margin. Backlog \$457M provides >1 year of forward cover against the \$390M guide.
- **Strategic developments (last 12 months):** \$175M Mistral merger (US defense, \$982M Army IDIQ); World View acquisition closed Apr-2026 (space/stratospheric ISR); announced Omnisys acquisition; Rotron Aerospace (loitering munitions), BIRD Aero (laser C-UAS), Indo-Earth and 4M Defense added; Optimus added to DoD Blue UAS list; legacy Ondas Networks deconsolidated in Jan-2026.
- **Promoter / leadership ownership:** No 'promoter' concept (US). Insider ownership is just 0.70%; institutions hold 40.6% of a 492.3M-share float. Founder-CEO Eric Brock drives strategy but holds a small economic stake — control is via capital allocation, not ownership.

### 4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** Counter-UAS market \$6.64B (2025) → \$20.31B (2030), 25.1% CAGR; loitering munitions \$5.36B → \$13.26B, 19.9% CAGR; defense autonomous-drone systems \$4.0B (2025) → \$32.4B (2034), ~25% CAGR. Ondas addresses all three, plus space-based ISR.
- **Policy tailwinds:** Record FY2026 US defense-tech budgets, the DoD Replicator / Blue UAS procurement push, NDAA drone-sourcing rules favouring non-Chinese (NDAA-compliant) vendors, and live demand pull from the Ukraine and Middle-East conflicts. Headwinds: budget-cycle lumpiness, export-control / ITAR friction, and political dependence on continued conflict-driven urgency.
- **Competitive moat — Scale: Weak.** At \$96.6M TTM revenue Ondas is a fraction of AeroVironment (\$1.6B) or Kratos (\$1.4B); scale advantage sits with the primes, not Ondas.
- **Moat — IP / technology: Moderate.** Blue UAS clearance, Optimus autonomy, BIRD laser C-UAS and SkyWeaver agentic-AI are differentiated, but each vertical faces well-funded specialists.
- **Moat — Switching costs: Moderate.** COCO ISR service contracts and integrated systems-of-systems create stickiness once deployed; early-stage and unproven at scale.
- **Moat — Distribution / access: Moderate-to-Strong.** Blue UAS listing, the Mistral US-Army IDIQ and allied-government relationships are genuine barriers to a new entrant — Ondas's strongest competitive asset.
- **Value-chain position:** OEM + solutions integrator — Ondas builds platforms (drones, C-UAS, loitering munitions) and increasingly wraps them in software/ISR services, moving downstream toward recurring revenue.

Listed peer set (stockanalysis.com, fetched 03 Jun 2026):

| Company (Ticker)      | CMP     | Mkt Cap  | TTM Revenue | ROCE  |
|-----------------------|---------|----------|-------------|-------|
| Ondas Holdings (ONDS) | \$13.58 | \$6.73 B | \$96.6 M    | -5.5% |

|                         |          |           |          |        |
|-------------------------|----------|-----------|----------|--------|
| AeroVironment (AVAV)    | \$204.35 | \$10.30 B | \$1.61 B | -5.1%  |
| Kratos Defense (KTOS)   | \$63.27  | \$11.86 B | \$1.42 B | +0.8%  |
| Red Cat Holdings (RCAT) | \$14.95  | \$2.25 B  | \$54.6 M | -31.2% |
| Unusual Machines (UMAC) | \$33.42  | \$1.60 B  | \$17.3 M | -11.3% |

Ondas already out-earns the small-drone pure-plays on revenue (RCAT, UMAC) yet carries a \$6.7B cap; the profitable scale sits with AVAV and KTOS, which Ondas does not yet approach operationally.

## 5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **CEO — Eric Brock (Founder, Chairman & CEO):** A markets/finance operator, not a defense-industry lifer — ex-Portfolio Manager at Clough Capital (2000–2017), ex-Bear Stearns banker, EY accountant; MBA Chicago. This shapes the whole strategy: capital-markets-led, deal-intensive, opportunistic. A strength for fundraising and structuring; a flag for financial engineering and dilution.
- **CFO — Neil Laird (since Jun-2024):** Long-time finance hand to the company with a railroad-technology background (Sperry Rail, Acuren). Credibly framed the Q1 warrant gain as ‘purely accounting driven... does not impact cash’ and steered investors to underlying operating performance.
- **Capital allocation track-record:** Aggressive acquirer — American Robotics (\$70.6M, 2021), Airobotics (2023), then Mistral (\$175M), World View, Omnisys, Rotron, BIRD, 4M Defense, Indo-Earth (2025–26). FCF has been persistently negative (-\$41M FY25); every deal and the cash burn are funded by equity issuance, not internal cash.
- **Dividend policy:** None — and none expected; all capital is reinvested into the roll-up. Appropriate for the stage, but means total return depends entirely on share-price appreciation.
- **Dilution (the central governance issue):** Shares outstanding rose to 495.76M, up +286.7% YoY; weighted basic shares went from 34M (2021) to ~293M (TTM). The Jan-2026 raise alone added ~\$1B. Per-share value creation must outrun a fast-growing share count — the key thing to monitor.
- **Warrants & structure:** A \$1.1B warrant liability sits on the balance sheet, driving large non-cash mark-to-market swings (a +\$389.5M gain in Q1-2026 that can reverse to losses if the stock moves). Reported GAAP earnings are therefore noise; focus on adjusted EBITDA and cash burn.
- **Governance watch-items:** Rapid serial M&A with limited integration history, VIE/consolidation complexity (a -\$46.2M VIE fair-value charge in Q1), deconsolidation of the legacy Networks business, and Israel/Middle-East operational exposure all raise the diligence bar.

## 6. FINANCIAL DEEP-DIVE

All figures US\$ millions unless noted. FY = calendar year (Dec). Actuals transcribed from stockanalysis.com (03 Jun 2026); FY26E/FY27E are estimates grounded in company guidance.

### Income Statement

| US\$ M                   | FY2023 | FY2024 | FY2025  | FY2026E    | FY2027E    |
|--------------------------|--------|--------|---------|------------|------------|
| <b>Revenue</b>           | 15.7   | 7.2    | 50.7    | <b>390</b> | <b>650</b> |
| Gross Profit             | 6.4    | 0.3    | 20.2    | ~195       | ~338       |
| Gross Margin %           | 40.7%  | 4.8%   | 39.7%   | ~50%       | ~52%       |
| R&D                      | 17.1   | 12.5   | 20.9    | n/a        | n/a        |
| SG&A                     | 27.5   | 22.5   | 57.7    | n/a        | n/a        |
| <b>Operating Income</b>  | (39.7) | (34.6) | (58.4)  | ~(130)     | ~(60)      |
| EBITDA (reported)        | (34.7) | (29.8) | (51.6)  | ~(40)      | ~(5)       |
| Adj. EBITDA              | n/a    | n/a    | ~(45)   | ~(35)      | ~0         |
| Net Other / Non-op       | (1.1)  | (0.0)  | (82.4)  | n.m.       | n.m.       |
| Pre-tax Profit           | (44.8) | (38.0) | (132.9) | n.m.       | n.m.       |
| <b>Net Income (GAAP)</b> | (46.4) | (42.4) | (137.2) | n.m. ‡     | n.m. ‡     |
| EPS (basic, \$)          | (0.88) | (0.61) | (0.62)  | n.m.       | n.m.       |

‡ GAAP net income is dominated by non-cash warrant mark-to-market and is not meaningfully forecastable. TTM (to Q1-2026) GAAP net income is +\$239.8M solely because of the +\$395M Q1 non-operating gain.

## Balance Sheet (FY actuals + latest quarter Q1-2026)

| US\$ M                         | FY2023 | FY2024 | FY2025  | Q1-2026        |
|--------------------------------|--------|--------|---------|----------------|
| <b>Cash + ST Investments</b>   | 15.0   | 30.0   | 572.5   | <b>1,473.9</b> |
| Receivables                    | 3.4    | 5.2    | 22.4    | 45.3           |
| Inventory                      | 2.2    | 9.8    | 22.0    | 34.3           |
| Goodwill + Intangibles         | 59.1   | 54.9   | 388.7   | 694.4          |
| <b>Total Assets</b>            | 92.2   | 109.6  | 1,132.8 | <b>2,439.4</b> |
| Total Debt                     | 35.3   | 54.2   | 12.5    | 4.4            |
| Total Liabilities              | 47.1   | 73.7   | 661.2   | 1,359.1        |
| <b>Total Equity (incl. MI)</b> | 45.1   | 35.9   | 471.6   | <b>1,080.3</b> |
| Net Cash / (Debt)              | (20.3) | (24.3) | 560.0   | 1,469.5        |

## Cash Flow

| US\$ M                     | FY2023 | FY2024 | FY2025  |
|----------------------------|--------|--------|---------|
| <b>Operating Cash Flow</b> | (34.0) | (33.5) | (38.7)  |
| Capex                      | (0.2)  | (1.6)  | (2.0)   |
| <b>Free Cash Flow</b>      | (34.2) | (35.1) | (40.8)  |
| Investing Cash Flow        | 0.5    | (1.7)  | (260.1) |
| Financing Cash Flow        | 18.7   | 50.2   | 862.7   |
| of which equity issued     | 14.7   | 7.4    | 860.4   |
| <b>Net Change in Cash</b>  | (14.8) | 15.0   | 563.8   |

## Returns & Ratios

| Metric             | FY2023 | FY2024 | FY2025 | TTM      |
|--------------------|--------|--------|--------|----------|
| <b>ROCE</b>        | -60.5% | -60.0% | -11.1% | -5.5%    |
| ROE                | -86.8% | -93.8% | -52.6% | +31.2% † |
| ROIC               | -61.0% | -50.7% | -20.2% | -13.0%   |
| Current Ratio      | 0.66   | 0.94   | 4.84   | 10.91    |
| Debt / Equity      | 0.20   | 0.44   | 0.01   | 0.004    |
| Inventory Turnover | 4.27   | 1.14   | 1.92   | 1.89     |

## Commentary:

- **Revenue:** Explosive and accelerating — FY2025 \$50.7M, then Q1-2026 alone \$50.1M (+1,080% YoY, +66% QoQ). Quarterly path: \$4.3M → \$6.3M → \$10.1M → \$30.1M → \$50.1M. FY2026 guided to ≥\$390M. But the bulk of the step-up is acquired, not organic (organic ~100%).
- **Margins:** Gross margin recovered to 49% in Q1-2026 (mix-driven, customization) with a stated path to >50% trending toward 60%. Operating margin remains deeply negative (-94% TTM) as SG&A/R&D scale ahead of revenue; operating loss actually widened to -\$42.7M in Q1.
- **Working capital:** Receivables and inventory are rising with revenue (receivables \$45.3M, inventory \$34.3M at Q1-26) — a normal but cash-hungry consequence of scaling hardware; a \$47M working-capital build drove Q1 operating cash use to -\$51.3M.
- **Balance sheet:** Transformed by the Jan-2026 raise — \$1.47B net cash, debt almost nil (D/E 0.004), current ratio 10.9x. Goodwill+intangibles ballooned to \$694M (acquisition-heavy), now ~28% of assets — a future impairment watch-item.
- **FCF quality:** Poor by design — FCF -\$41M (FY25) and worse in Q1-26; OCF/PAT conversion is meaningless while PAT is warrant-driven. The thesis rests on revenue scaling into the cost base before the cash pile is consumed; current burn (~\$50M/qtr) gives multi-year runway.

## 7. EARNINGS QUALITY CHECKLIST

| Signal | Rating | Comment |
|--------|--------|---------|
|--------|--------|---------|

|                           |       |                                                                                               |
|---------------------------|-------|-----------------------------------------------------------------------------------------------|
| Revenue recognition       | AMBER | Real cash sales, but huge step-up is acquisition-driven; pro-forma vs reported gap is large.  |
| Receivables vs revenue    | GREEN | Receivables up with revenue but not faster; DSO not stretched — clean so far.                 |
| Reported PAT quality      | RED   | GAAP net income is non-cash warrant + deconsolidation gains; bears no relation to operations. |
| Cash conversion (OCF/PAT) | RED   | OCF deeply negative (-\$51M Q1); company is cash-consumptive while scaling.                   |
| Goodwill / intangibles    | AMBER | \$694M (28% of assets) from serial M&A; impairment risk if deals underperform.                |
| Dilution / share count    | RED   | Shares +286.7% YoY; warrant overhang \$1.1B; per-share value chronically diluted.             |
| Other income vs PBT       | RED   | Non-operating items swamp PBT (+\$395M in Q1) — earnings not operationally driven.            |
| Tax rate consistency      | AMBER | Negligible tax (losses / NOLs); near-zero effective rate, immaterial but non-normalized.      |
| Auditor / VIE complexity  | AMBER | VIE consolidation + \$46.2M VIE fair-value charge add accounting opacity.                     |

- **Headline-PAT is the single biggest trap:** the +\$361M Q1 GAAP profit is ~\$389.5M warrant re-valuation + \$51.5M Networks deconsolidation, minus a \$46.2M VIE charge — all non-cash. Underlying, the business lost money operationally (op loss -\$42.7M; adj-EBITDA loss -\$10.9M).
- **Watch the share count, not the EPS:** with shares up ~287% YoY and a \$1.1B warrant liability, dilution is the dominant value driver. EPS will swing wildly on warrant marks each quarter — ignore it; track adjusted EBITDA, backlog conversion and cash.
- **Receivables/DSO are the one clean signal** — they are tracking revenue rather than running ahead of it, which argues the revenue is genuine cash business, not channel-stuffed.
- **Goodwill/intangibles at 28% of assets** is the medium-term red-amber item: a roll-up built this fast will eventually test these carrying values if any acquired unit disappoints.

## 8. VALUATION

Peer comparison (stockanalysis.com, fetched 03 Jun 2026):

| Company           | CMP      | Mkt Cap  | P/E    | P/B | P/S  | ROCE   |
|-------------------|----------|----------|--------|-----|------|--------|
| Ondas (ONDS)      | \$13.58  | \$6.73B  | 31.0 † | 5.9 | 69.7 | -5.5%  |
| AeroVironment     | \$204.35 | \$10.30B | n/a    | 2.4 | 6.4  | -5.1%  |
| Kratos (KTOS)     | \$63.27  | \$11.86B | 368.7  | 3.5 | 8.4  | +0.8%  |
| Red Cat (RCAT)    | \$14.95  | \$2.25B  | n/a    | 7.6 | 41.2 | -31.2% |
| Unusual M. (UMAC) | \$33.42  | \$1.60B  | n/a    | 4.8 | 92.6 | -11.3% |

† ONDS P/E distorted by non-cash gains — not comparable. The relevant lens for all pre-profit drone names is P/S; ONDS at ~70x trailing / ~13.5x forward sits well above the profitable primes (AVAV 6.4x, KTOS 8.4x).

Scenario analysis (12-month, EV/Sales-based)

| Scenario | Key assumptions                                                       | Rev base | EV/Sales | Target  |
|----------|-----------------------------------------------------------------------|----------|----------|---------|
| Bull     | FY27E rev ~\$700M; backlog converts; theme re-rates; multiple holds   | \$700M   | 14x      | \$21.00 |
| Base     | FY26E \$390M guide met; FY27E ~\$650M; blended ~11x forward sales     | blend    | ~11x     | \$14.50 |
| Bear     | Guide slips / theme de-rates; multiple compresses; dilution continues | \$390M   | 6x       | \$7.00  |

### Valuation methodology

- **DCF — not meaningful:** FCF is structurally negative (-\$41M FY25, worse in Q1-26) with no near-term path to positive free cash; any DCF would rest entirely on speculative terminal assumptions. We explicitly decline to anchor a target on DCF and rely on forward EV/Sales, the market-standard lens for pre-profit defense-growth names.



- **EV/Sales (primary):** Enterprise value \$5.27B on FY2026E revenue \$390M = ~13.5x forward sales; on FY2027E ~\$650M = ~8x. Applying a blended ~11x forward multiple (a premium to AVAV's 6.4x / KTOS's 8.4x to reflect ~3x-faster growth, discounted for execution/dilution risk) implies EV ~\$5.9B, plus ~\$1.4B net cash ≈ \$7.3B equity ≈ **\$14.5/share**.
- **Cross-check — Street:** 8 analysts rate ONDS Strong Buy with a \$20.13 consensus target (+48%); that case assumes flawless backlog conversion and no multiple compression. We sit below it deliberately on valuation discipline and dilution risk.
- **Base-case 12-month target: \$14.50** (+6.8% from CMP \$13.58). The skew is wide and asymmetric — bull \$21 (+55%), bear \$7 (-48%) — which is itself the argument for buying on weakness rather than at spot.

## 9. KEY RISKS

- **Valuation / multiple compression** — At ~70x trailing (13.5x forward) sales with non-cash 'profits', any disappointment de-rates the stock hard. Probability: M. Impact: H. Monitor via: forward EV/Sales vs AVAV/KTOS, sequential revenue beats/misses.
- **Guidance execution / backlog conversion** — The \$390M guide implies ~670% growth; the \$457M backlog is partly acquisition-bundled and conversion timing is 'really hard' (management's words). Probability: M. Impact: H. Monitor via: quarterly revenue vs the ramp, book-to-bill.
- **Dilution & capital dependence** — Growth and M&A are equity-funded; shares already +287% YoY. Continued issuance caps per-share upside. Probability: H. Impact: M. Monitor via: share count, ATM/offering filings.
- **Integration / roll-up risk** — Many acquisitions (Mistral, World View, Omnisys, Rotron, BIRD, 4M) in <18 months with thin integration history; goodwill 28% of assets. Probability: M. Impact: H. Monitor via: segment margins, any impairment, management turnover.
- **Warrant mark-to-market volatility** — A \$1.1B warrant liability drives huge non-cash swings that dominate GAAP earnings and can reverse to large losses. Probability: H. Impact: M (non-cash). Monitor via: quarterly warrant-liability marks, share price.
- **Geopolitical / concentration** — Heavy Israel/Middle-East operational and demand exposure; revenue partly conflict-driven and lumpy by defense budget cycle. Probability: M. Impact: M. Monitor via: regional newsflow, contract award cadence.
- **Short-squeeze-driven volatility** — 31% of float short (2.3-day cover), beta 2.56; price action can decouple from fundamentals in both directions. Probability: H. Impact: M. Monitor via: short interest, borrow rates, implied vol.

## 10. RECOMMENDATION

- **Rating: HOLD (Speculative / High-Risk).** Conviction: **Medium**. The business is genuinely inflecting, but the price already discounts a great deal and the reported 'earnings' are non-cash — we will not chase at spot.
- **12-month price target: \$14.50** (base case, +6.8% from CMP \$13.58). Bull \$21 (+55%) / Bear \$7 (-48%).
- **Suggested entry zone: \$9.00–\$11.00** — i.e. into the 200-DMA (\$9.00) on a momentum unwind, where risk/reward turns clearly favourable.
- **Investment horizon: 12–18 months**, suitable only for risk-tolerant, volatility-comfortable capital sized as a small speculative position.

### Thesis-invalidation triggers (this call is wrong if):

- FY2026 revenue tracks materially below the \$390M guide (e.g. Q2/Q3 run-rate implying <\$320M) — backlog is not converting.
- A further large equity raise / sustained ATM issuance pushes the share count up another >20% without a commensurate step-up in backlog or revenue.
- Adjusted-EBITDA losses widen rather than narrow through 2026, signalling the cost base is outrunning revenue and the cash pile is being consumed faster than planned.

- **Ideal investor profile:** Risk-tolerant thematic/defense-tech investors who want exposure to the drone/counter-UAS super-cycle, can stomach 50%+ drawdowns and warrant-driven optics, and will size it small.
- Not for:** income, value, or capital-preservation mandates, or anyone who reads the GAAP P/E at face value.

## APPENDIX — Latest Concall Brief: Q1 FY2026 (call 14 May 2026)

### CALL GRADE: POSITIVE

| Signal                                                              | Status         | Implication                                                                       |
|---------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------|
| Result quality                                                      | <b>Strong</b>  | Revenue beat guidance high-end by ~25–31%; product cos. adj-EBITDA positive early |
| Management tone                                                     | <b>Bullish</b> | 'Our plan is working' — confident, but hedged on backlog-conversion timing        |
| Guidance delta                                                      | <b>Raised</b>  | FY2026 revenue lifted to ≥\$390M from \$375M (~670% growth)                       |
| STRONGLY POSITIVE   <b>POSITIVE</b>   NEUTRAL   CAUTIOUS   NEGATIVE |                |                                                                                   |

Headline looks spectacular and is half-illusion: Q1 revenue of \$50.1M (+1,065% YoY, +66% QoQ) is real and beat the high end by ~25%, but the \$361M GAAP net income is almost entirely a +\$389.5M non-cash warrant re-valuation plus a \$51.5M Ondas Networks deconsolidation gain, less a \$46.2M VIE charge — the CFO openly told investors to ignore it. Clean underlying read: operating loss -\$42.7M and adjusted-EBITDA loss -\$10.9M, i.e. still pre-profit, though the product companies turned adj-EBITDA positive ~2 quarters early. The multi-bagger scaffolding is genuine — \$457M pro-forma backlog (from \$68M), a \$4.3B / 45-program pipeline, Blue UAS clearance on Optimus, Mistral's \$982M Army loitering-munition IDIQ, and a \$1.48B cash war-chest that funds a self-described >\$4.2B M&A capacity. The near-term catalyst is simple: print sequential revenue gains toward the raised ≥\$390M FY26 guide and convert World View / Mistral / 4M orders. The watch-point is equally simple: shares are up ~287% YoY, the warrant book is \$1.1B and will whipsaw GAAP optics, and at ~70x trailing sales the stock prices in perfection. Action: **HOLD here; accumulate only into the \$9–11 zone (200-DMA \$9)** — this is a small, high-volatility speculative position, not a core hold.

### 1. Financial Performance Snapshot

- Revenue: \$50.1M | YoY +1,065% | QoQ +66% | **Beat** (vs ~\$40M guide high-end).
- Gross profit: \$24.7M | Gross margin 49% (vs 35% in Q1-25) | **Beat**.
- Operating loss: -\$42.7M | widened YoY/QoQ as opex scales | **Miss vs breakeven hopes**.
- Adjusted EBITDA: -\$10.9M (vs -\$7.5M Q1-25) | product cos. positive | **In-line**.
- GAAP net income: +\$361.2M | EPS \$0.56 (vs -\$0.03 est) | **Beat (but non-cash)**.
- NOTE: Reported PAT includes +\$389.5M warrant gain + \$51.5M deconsolidation gain - \$46.2M VIE charge; clean underlying = an operating loss of ~\$43M.

### 2. Segment / Geography Breakdown

- Ondas Autonomous Systems (OAS): the core engine — Optimus drone, C-UAS, ISR; largest 2026 contributor with aerial security + ground systems leading.
- Airobotics (within OAS): +260% YoY — standout organic growth signal inside the portfolio.
- Mistral (US defense): consolidated; carries the \$982M Army loitering-munitions IDIQ; production localization at a 46,000 sq ft facility.
- World View (closed Apr-2026): stratospheric/space ISR + SkyWeaver agentic-AI; shifting to contractor-owned-operated (COCO) ISR services model.
- Ondas Networks (legacy rail / private-wireless): DECONSOLIDATED in Jan-2026 — no longer a reporting segment; generated the \$51.5M accounting gain.

### 3. Management Commentary Themes

- Strategy validation: 'Our plan is working. Our results increasingly validate that strategy.' — Our read: confidence is earned by the revenue beat. Tag: EST. Tone: Transparent.
- Warrant gain: Laird — 'purely accounting driven... does not impact our cash position.' — Our read: correctly steering focus to operations. Tag: GUIDANCE. Tone: Transparent.
- Profitability timing: product-company adj-EBITDA achieved '~2 quarters ahead of plan'; OAS-level EBITDA now expected Q1-2027. Tag: GUIDANCE. Tone: Transparent.



- M&A capacity: 'capacity to support more than \$4.2 billion of M&A activity.' — Our read: signals continued roll-up (and dilution). Tag: EST. Tone: Transparent.
- Backlog conversion: characterized as 'conservative' guidance but precision 'really hard' — Our read: genuine but unquantified timing risk. Tag: EVASIVE. Tone: Hedged.

## 4. Operating & Business Metrics

- Pro-forma backlog: Q1-26 = \$457M | end-2025 = \$68.3M | Trend: improving sharply (+570%).
- FY2026 revenue guide: New =  $\geq$ \$390M | Prior = \$375M | initial = \$175M | Trend: repeatedly raised.
- Gross margin: Q1-26 = 49% | Q1-25 = 35% | target >50% → 60% | Trend: improving.
- Pipeline: 45 programs ~ \$4.3B opportunity | Trend: expanding with acquisitions.
- Cash: Q1-26 = \$1.48B | end-2025 = \$616.1M | Trend: up on Jan-26 raise (+warrant/option exercises).

## 5. Margin Drivers

- Product customization: +ve to gross margin | Recurring: Partly | mix-dependent, will stay 'volatile quarter to quarter.'
- Software / systems-of-systems (SkyWeaver, Iron Drone, COCO ISR): +ve | Recurring: Yes | the structural margin-up lever as software content rises.
- Scale / opex absorption: -ve near-term | Recurring: No | SG&A+R&D scaling ahead of revenue keeps operating margin negative in 2026.
- Long-term adj-EBITDA target 25–30% of revenue | non-near-term — management explicitly prioritising market capture over current profitability.

## 6. Guidance & Forward Signals

- FY2026 revenue [GUIDANCE]: Prior \$375M | New  $\geq$ \$390M | Delta: raised | Credibility: Medium-High (Q1 beat supports it).
- Gross margin [GUIDANCE]: target >50%, trending to 60% | Delta: maintained | Credibility: Medium (mix-volatile).
- OAS adj-EBITDA profitability [GUIDANCE]: now Q1-2027 (6 months early) | Delta: raised / pulled-forward | Credibility: Medium.
- Long-term adj-EBITDA margin [EST]: 25–30% | Delta: new aspiration | Credibility: Low-Medium (unproven, far out).

## 7. Capital Allocation

- Equity raised: ~\$1.0B (Jan-2026 offering) + warrant/option exercises | financing inflow \$968.5M in Q1 | funds growth + M&A.
- M&A: Mistral (\$175M), World View (closed Apr-26), Omnisys (announced), Rotron / BIRD / 4M / Indo-Earth | stated >\$4.2B further capacity.
- Capex: minimal (~\$3M TTM) — asset-light vs the acquisition spend.
- Dividends / buybacks: none — negative buyback yield (net issuance) of ~-2.9%.
- Net cash: +\$1.47B | vs net debt a year ago | balance sheet de-risked on funding, re-risked on dilution.

## 8. Q&A; Heat Map

- Needham (Bohlig): Q: organic growth? → A: pro-forma ~\$90M annualized base, core growth ~100%, QoQ +32.8% | Tone: Transparent.
- Needham (Bohlig): Q: \$450M backlog → 2026 revenue? → A: 'remains to be seen', conservative, well-funded | Tone: Hedged.
- H.C. Wainwright (Dayal): Q: margin drivers / EBITDA target? → A: customization + software; 25–30% long-term | Tone: Direct (hedged on volatility).
- Stifel (Siegmann): Q: Middle-East dynamics? → A: operational pressure but mission-driven; demand strong, not all near-term revenue | Tone: Transparent.
- Lake Street (Michaelis): Q: win-rate on \$4.3B / 45-program pipeline? → A: hard to be precise, more detail later | Tone: Evasive.

- Northland (Latimore) / Maxim (Golinko): Q: SkyWeaver vs Maven, software content? → A (Hartman): detailed COCO / agentic-AI model | Tone: Transparent.
- Dodged / watch-list for next quarter: precise backlog-to-revenue conversion %, program win-rates, Mistral capacity utilization.

## 9. Risks Flagged

- Backlog-conversion timing: precise phasing 'really hard' | Flagged by: mgmt | Prob: M | Impact: H | Timeline: near-term.
- Warrant MTM volatility: \$1.1B liability swings GAAP earnings | Flagged by: mgmt / analyst | Prob: H | Impact: M | Timeline: ongoing.
- Middle-East operational strain: employee deployment / conflict exposure | Flagged by: mgmt (Stifel Q) | Prob: M | Impact: M | Timeline: near-term.
- Rising cash usage: higher burn next quarter on acquisitions before H2 efficiency | Flagged by: CFO | Prob: H | Impact: M | Timeline: near-term.
- Integration of multiple acquisitions | Flagged by: analyst | Prob: M | Impact: H | Timeline: medium-term.

## 10. Analyst Verdict

- Revenue visibility: **Intact** — \$457M backlog + raised \$390M guide + Q1 beat give the best forward cover in the company's history.
- Margin trajectory: **Intact** — gross margin 49% and rising; operating margin still negative but improving as a % of a fast-growing base.
- Capital allocation quality: **Weakened** — value-accretive deals possible, but equity-funded roll-up + 287% share growth keep per-share creation under pressure.
- Competitive moat: **Intact (narrow)** — Blue UAS clearance, Mistral IDIQ and allied-government access are real; scale moat absent.
- Management credibility: **Intact** — beat-and-raise plus candour on the non-cash gains; but a finance-led team running a deal-heavy model warrants ongoing scrutiny.
- Valuation comfort: **Broken** — ~70x trailing / 13.5x forward sales with non-cash earnings leaves no margin of safety at spot.
- Conviction call: **Unchanged** — HOLD; accumulate into \$9–11. Business momentum strong, price discipline required.
- Valuation snapshot: P/E = 31.0x (GAAP, n.m.) | EV/Sales = 54.5x TTM / ~13.5x FY26E | RoCE = -5.5% | Net cash \$1.47B | Street: Strong Buy, \$20.13 PT.

*DISCLAIMER: For information only; not investment advice or an offer to transact. All financial figures sourced from stockanalysis.com (fetched 03 Jun 2026); qualitative context from Ondas Q1-2026 press release / earnings call (14 May 2026) and third-party industry research. Forward estimates (E) are the analyst's and may prove wrong. The author may hold no position. Do your own diligence.*